

can be explained by volatility. For example, there are examples of small cap stocks with lower costs than some large cap stocks holding all other factors constant and there are examples of large cap stocks having higher costs than small cap stocks holding all other factors constant. This difference, however, can usually be explained through price volatility.

- P7.** *Trading costs increase with spreads.* Stocks with larger bid-ask spreads have higher trading costs than stocks with smaller spreads (all other factors held constant).

Additional factors that are found to explain differences in impact cost across stocks include:

- P8.** *Trading stability.* Differences in impact cost at the stock level are also dependent upon the stability of daily volumes and the intraday trading patterns (e.g., how the stock trades throughout the day and the quantity of block volume). Stocks with stable trading patterns (e.g., certainty surrounding day-to-day volumes, intraday volume profile, and quantity of block executions) are generally associated with lower impact cost than stocks exhibiting a high degree of instability (e.g., high uncertainty surrounding day-to-day volumes, large variations in intraday patterns, and choppy or sporadic block executions).

Since large cap stocks are associated with more stable trading patterns and small cap stocks generally relate to less stable trading patterns, market cap is a reasonable proxy for trading stability. However, at times mature small cap companies exhibits more stability than large caps, and vice versa.

- P9.** *Stock specific risk (idiosyncratic risk).* We found the error in trading cost (measured as the difference between the estimated cost and the actual cost) was correlated to the stock's idiosyncratic risk. This is an indication that price elasticity is dependent on stock volatility but there also appears to be a company specific component.
- P10.** *Spreads are a proxy for trading pattern uncertainty.* While spreads are treated as a separate transaction cost component, we have found that spreads are also correlated with company specific market impact cost. This finding, however, is more likely to be due to stocks specific trading stability than due to actual spreads (because spread costs were subtracted from the trading cost). Stocks with higher spreads were also usually those stocks with less stable intraday trading patterns. The higher spreads seemed to account for the instability in intraday trading patterns.